



FLEX GUIDELINE UPDATES

Below please find updates to the Flex NonQM Guidelines and Matrices for applications submitted and locked effective on or after **November 1, 2024**.

- **Matrices**
 - Select Prime - Occupancy Restrictions for Investment (NOO) – Clarified the LTV limits in the FICO tiers and loan limit for > 80% to 85% LTV.
- **Rate and Term Refinance:**
 - Updated the guide to allow for the payoff of subordinate liens that are at least 6 months seasoned as of the note date.
 - Clarified that borrowers may pay off debt through the transaction up to the rate/term limits.
- **Cash Out Limits:**
 - Select Prime: updated max cash out when the LTV > 60% from \$750K to \$1,000,000
 - DSCR 1-4 Unit: updated max cash out when the LTV > 60% from \$500K to \$1,000,000
 - Foreign National: updated max cash out when the LTV > 55% to \$1,000,000
- **Borrower Eligibility:**
 - The entire section has been rewritten to provide more clarity around acceptable borrower eligibility.
- **OFAC Search:**
 - Clarified this applies only to Foreign National transactions.
- **Inter Vivos Trusts:**
 - Clarified that closing documents must be executed in accordance with FNMA signature requirements for when loans are closing in a trust.
- **Entity Vesting:**
 - Clarified that the Certificate of Good Standing must be for the current year; the 90-day expiration date requirement has been removed.
- **ITIN:**
 - Credit Score Requirements:
 - One credit score is permitted provided the credit report has sufficient tradeline activity, defined as:
 - 3 trades reporting for 12+ months, OR
 - 2 trades reporting for 24+ months, OR
 - 24 month mortgage history.
 - Removed the restriction from permitting ITIN loans on TX A6 transactions

- Escrow Waivers:
 - Not permitted
- **Non-Occupant Co-borrower:**
 - Permitted on Foreign National loans when the non-occupant is a US Citizen who will be taking title.
- **Mortgage/Housing history:**
 - No Housing or Less than 12 months housing history:
 - Removed the restriction that only primary and second homes are permitted
 - Clarified that when paying a private party, one of the following is required:
 - VOM/VOR along with the most recent 6 months of cancelled checks or bank statements, OR
 - A copy of the lease/note along with 12 months of cancelled checks.
 - Clarified that charged off second or junior liens are considered housing events, and are subject to foreclosure seasoning requirements, based on the charge-off date.
- **Full Documentation Income Requirements:**
 - Electronic Verification of Employment with Income is acceptable in lieu of W2s
 - Removed three year continuance requirement for sources where obtaining that information is not likely, such as foster care and disability income. In those instances, there must not be any evidence that the income is not likely to continue.
 - Part Time/Second Job requirements now align with FNMA. A one year history is permitted with strong offsetting factors to offset the shorter income history.
- **Alt Doc: NSF Handling:**
 - Updated the guide to clarify how NSFs are handled when a banking institution provided overdraft protection as part of their standard policy.
- **Written Verification of Employment Only Program:**
 - Added a maximum loan amount of \$1,500,000 restriction
- **Debt to Income Ratio (DTI):**
 - Added a maximum 55% DTI to Select Prime with the following requirements:
 - Minimum FICO of 680
 - 0x30x12
 - 48 months since a housing event
 - Minimum \$3,500/m in residual
 - Maximum loan amount of \$2.5m
 - Not permitted with a 40-year term

- **Gifts / Minimum Borrower Contribution:**
 - Removed the Minimum Borrower Contribution section since the requirements are covered under the Gift Funds section
 - For owner occupied and second homes, 100% gift funds are permitted up to an 80% LTV
- **Assets: Business Access Letter:**
 - When full access letter is provided from other business owners, 100% of the assets may be used.
- **Appraisal Review Process Update:**
 - Clarified that when the value of the desk review is greater than 10% less than the appraised value, a field review or second full appraisal must be obtained, and the lower of the two values must be used for qualifying.
- **Accessory Units:**
 - The guide has been updated to allow for Single Family Residences with more than one Accessory Unit or 2-4 Unit properties with an ADU when the property is located in a municipality allowing for such a set up. The appraiser must specifically confirm compliance with local regulations. All other requirements detailed in the Accessory Units section of the Guide must be adhered to.
- **Rural Properties:**
 - Second home and non-DSCR investment properties can be considered when the property has no more than 2 acres up to a maximum LTV of 75%
- **Declining Markets:**
 - No reduction in LTV is required when the LTV is 65% or less.
- **Condominiums:**
 - General reorganization of the condo guidelines and provided clarity in several sections.
 - Single entity ownership increased to 49%. Exceptions for a higher amount can be considered. The following information is required for consideration:
 - Is the Single Entity the developer? REIT? Private Investor? Sponsor?
 - Is the Single Entity current on all HOA dues payments? If not, provide the delinquency info.
 - Does the Single Entity intend to sell some or all of the single entity owned units? If yes, provide the marketing strategy.
 - Is the subject unit one of the single entity owned units?
 - What is the current occupancy type of the subject unit?
- **DSCR Housing History:**
 - Clarified that all mortgages reporting to the credit report are considered when determining housing history eligibility.
 - Expanded on when rent-free circumstances are permitted.

- **DSCR 1-4 Unit DSCR Calculation Requirements updated as follows:**
 - Purchases:
 - If using a lease amount that is higher than the 1007/1025 market rents, 2 months proof of receipt is required and the lease must be within 120% of the market rents. If the lease is > 120% above market, the rents are capped at 120%.
 - Refinances:
 - If using a lease amount that is higher than the 1007/1025 market rents, 2 months proof of receipt is required and the lease must be within 120% of the market rents. If the lease is > 120% above market, the rents are capped at 120%.
 - If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%.
- **Mixed Use / 5-10 Unit DSCR:**
 - Updated to allow first time investors for 5-10 unit residential properties only with a 0x30x24 housing history or when the primary is owned free and clear.
 - Clarified that rural properties are not permitted